

b. Service Business:

Service businesses, on the other hand, require less capital. This is because they start making money relatively earlier and can finance itself through revenue.



You need to evaluate if yours a product business or service business.

However, there are certain exceptions. Not every product business requires capital. For example, if the pre-revenue period is low (the time to complete the product is less than 1 or 2 months), the company might not require immediate fundraising. On the other hand, if the service business has long contract periods like one-year or two-year contracts. In such circumstances, the company might require capital to fund that.

However, in general, product businesses require more capital when starting as compared to service businesses, which can take revenue immediately in many circumstances. So it depends on where exactly you are, and which shelf your business idea falls into. Then you can evaluate whether or not you require additional capital. However, it is possible that you are running a service business, and your business is doing extremely well 0 to 60% margin. But you want to grow at a fast pace.

So, it all varies from business to business and case to case.

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